

SHORT STRADDLE

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IN A SHORT STRADDLE, YOU ARE SELLING AN ATM CALL AND AN ATM PUT OPTION AT THE SAME TIME AND ON THE SAME ASSET. SHORT STRADDLE IS A STRATEGY TO FOLLOW WHEN YOU EXPECT LOW VOLATILITY.

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The Strike Price of the two is also the same or very close to each other and even the time to expiry.

The Lot size of both the options is also the same.

The expectation here is that the market would have low volatility. It would not move in either direction by a significant amount.

THE OBJECTIVE WITH SUCH A STRATEGY IS AGAIN TO COLLECT PREMIUM AS PROFIT AND HAVE NO PAYOFF AGAINST IT AT EXPIRY.